Building Winning Algorithmic Trading Systems (Davey) — Fill-in-the-Blank Quiz

Name: _____ Date: _____ Score: ____ / 30 questions (one underline = one missing word or short phrase)

Introduction & Chapters 1–3

1. In the Dec. 23, 2003 live cattle trade, three days locked limit down cost Davey $_____, about ___ times his maximum expected loss.

2. Wiest's scale-trading book added a contract every ____ cents of decline, with a profit target ___ cents above entry.

3. In 2006 Davey's long copper trade (Feb. 17–May 1) earned $_____ per contract; _____ finished second.

4. His contest system bought after a close at a ____-bar high if the ____-bar RSI was above 50.

Chapters 4–7

5. Out-of-sample data is typically the most recent ____ to ____ percent of the data.

6. Minimum net profit is $_____ per year per contract (prefer $_____), with an average trade of at least $____.

7. Tharp Expectancy should exceed _____, and commission is assumed at $___ per round turn.

8. The Monte Carlo simulator runs _____ iterations; Davey accepts a median max drawdown up to ____ percent and return/drawdown above _____.

Chapters 8–11

9. Pardo's "Evaluation and Optimization of Trading Strategies" (Wiley, _____) is the bible; Davey tests _____ to _____ ideas per keeper.

10. SMARTER adds the letters E and R: _____ and _____.

11. The example final goal: average ____ percent per year, max drawdown ____ percent, winning percentage ____ percent or higher.

12. The gold pit closed at _____ P.M. Eastern; the Sept. 18, 2013 Fed announcement came at _____ P.M.

13. In the back-adjusted euro example the gap added is _____; the raw ratio 1.3500/1.3420 equals _____.

Chapters 12–15

14. The core system test uses ____ x ____ = 100 iterations, and wants ____ percent or more profitable.

15. Monkey tests use _____ runs each; a good strategy beats the monkey ___ times out of ____.

16. In Table 12.1 the strategy had net profit $72,650, _____ trades, and was ____ percent long.

17. The ES walk-forward example used a ___-year in-period, a ___-year out-period, with _____ windows.

18. Return on account = Net Profit / (Max _____ + Required _____).

19. Linearity (R-squared): Euro night _____, Euro day _____, combined _____.

Chapters 16–20

20. At x = 0.32 (Vince's optimal f), risk of ruin was ____ percent; Davey's limits (45% drawdown, 10% ruin) gave x = _____.

21. Euro day uses ____-minute bars from 7 A.M. to ___ P.M. ET; euro night uses _____-minute bars.

22. Combined Monte Carlo: return _____ percent, max drawdown _____ percent, return/drawdown _____.

23. Profitable periods: weeks _____ percent, years _____ percent.

24. Quit point: worst drawdown $3,265 x 1.5 = $_____; the Monte Carlo 95% level is $_____; margin $2,750 makes the minimum account $_____.

25. With ff = _____ and BigLoss $_____, three contracts require equity of $_____.

Chapters 21–25

26. Entering mid-trade with $300 open profit on a $500-target/$250-stop trade gives a reward-to-risk of _____ to 1.

27. Rollover: the _____ roll is most expensive, the _____ roll cheapest, a difference of $_____.

28. Typical return efficiency is ____ to _____ percent; drawdown efficiency is ___ minus actual/expected drawdown.

29. The uncanceled limit order filled at ___ A.M. Tuesday, cost about $_____ and was ___ percent of the account.

30. Pay Me Peter sold his system for $_____ outright, or $500 up front plus $_____ a month; his back test showed $_____ net profit.